

SENATE No. 2025

The Commonwealth of Massachusetts

PRESENTED BY:

Edward J. Kennedy

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act establishing the Massachusetts student relief and retention tax credit.

PETITION OF:

NAME:

Edward J. Kennedy

DISTRICT/ADDRESS:

First Middlesex

SENATE No. 2025

By Mr. Kennedy, a petition (accompanied by bill, Senate, No. 2025) of Edward J. Kennedy for legislation to establish the Massachusetts student relief and retention tax credit. Revenue.

[SIMILAR MATTER FILED IN PREVIOUS SESSION
SEE SENATE, NO. 1852 OF 2023-2024.]

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act establishing the Massachusetts student relief and retention tax credit.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 Chapter 62 of the Massachusetts General Laws as appearing in the 2022 Official edition,
2 is hereby amended in Section 6 by inserting at the end thereof after Section 6N the following
3 new subsection:-

4 Section 6O. (a) The purpose of this section shall be to provide an incentive for students to
5 remain in Massachusetts upon the completion of a degree attained from an accredited
6 Massachusetts community college, college, or university. This program is intended to plan for
7 the long-term retention of talent that relocates to Massachusetts to pursue educational
8 opportunity.

9 (a) There is hereby established a Massachusetts student relief and retention tax credit.

10 A qualified individual is allowed a credit against the state income tax

(b) A Taxpayer may claim a credit based upon educational loan payments made to a relevant lender or lenders made during that part of a taxable year, whilst being a resident of the Commonwealth of Massachusetts for more than one entire taxable year.

(c) The credit allowed under this chapter shall be equal to the lesser of;

a. The monthly payment amount made on eligible education loans multiplied by the number of months during the taxable year in which the taxpayer made payments on eligible education loans; and

b. The greatest of \$1,000 if the qualified individual obtained an associate degree, \$2,000 if the qualified individual obtained a bachelor's degree, and \$3,000 if the qualified individual obtained a graduate degree.